

May 12, 2026 07:57 AM GMT

Jiangsu Hengrui | Asia Pacific

Landmark US\$15.2bn Strategic Collaboration with BMS Accelerates Globalization

Key Takeaways

- Hengrui and BMS announced a global strategic collaboration for asset in/out licensing and "co-co" agreement, involving 13 preclinical-stage assets.
- Hengrui will out-license 4 oncology/hematology assets to BMS, in-license China rights of 4 immunology assets, and co-develop 5 next-gen assets with BMS.
- Total deal value of US\$15.2bn includes a US\$600mn upfront payment, US \$350mn anniversary payments in 2027-28, up to US\$14.3bn milestones, and tiered sales royalties.
- Hengrui will advance the 8 assets to POC stages, while it also has the option for global co-development and co-commercialization with BMS for certain programs.
- Accounting wise, the US\$600mn upfront fee will be recognized in tranches starting from 4Q26, depending on the relative value of the 13 programs.

The Event (link): Hengrui announced a broad strategic collaboration with Bristol Myers Squibb (BMS [BMY.N]; covered by Terence Flynn) followed by a conference call. The deal involves 13 assets: 1) out-licensing ex-China rights of four potential FIC/ BIC oncology and hematology assets to BMS, 2) in-licensing China rights to four immunology innovative assets from BMS, and 3) co-developing five next-generation programs. Hengrui also holds opt-in rights for co-commercialization for certain programs. The transaction carries a total deal value of up to US\$15.2bn, including a US\$600mn upfront payment, a US\$175mn anniversary payment in 2027, a conditional US\$175mn anniversary payment in 2028, as well as tiered royalties up to double-digit %. Hengrui will be responsible for leading the clinical development programs of the first eight assets up to POC stages.

Our take: The landmark strategic collaboration spanning multiple formats and asset modalities further validates Hengrui's early R&D platforms and stepped-up globalization capabilities, in our view. In addition to near-term cash proceeds, the reciprocal collaboration structure and "co-co" option (co-development and co-commercialization) could also accelerate Hengrui's globalization pace and generate commercial synergies in the China market for its expanding immunology portfolio.

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China Healthcare: Catalyst Preview: ASCO 2026 Abstracts – Pharma Edition (5 May 2026)

China's Emerging Frontiers: Jiangsu Hengrui: Biopharma Moonshot #1 – The Underappreciated RAS Portfolio (4 May 2026)

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Jiangsu Hengrui (1276.HK, 1276 HK)

Top Pick

China Healthcare | China

Stock Rating	Overweight
Industry View	Attractive
Price target	HK\$92.00
Up/downside to price target (%)	39
Shr price, close (May 11, 2026)	HK\$66.05
52-Week Range	HK\$95.20-52.50
Sh out, dil, curr (mn)	225
Mkt cap, curr (mn)	Rmb356,077.9
EV, curr (mn)	Rmb315,006.8
Avg daily trading value (mn)	HK\$305

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (Rmb)**	1.16	1.36	1.58	1.92
EPS (Rmb)§	1.32	1.46	1.68	2.03
Revenue, net (Rmb mn)	31,629.4	35,696.5	41,346.0	48,882.4
EBITDA (Rmb mn)	8,954.3	10,923.5	13,074.5	15,670.7
ModelWare net inc (Rmb mn)	7,711.1	9,053.5	10,468.0	12,730.7
P/E	54.8	41.8	36.2	29.7
P/BV	6.9	5.5	4.8	4.2
RNOA (%)	29.8	34.9	38.3	40.5
ROE (%)	16.9	14.8	15.1	16.1
EV/EBITDA	83.8	28.3	23.2	18.8
Div yld (%)	0.3	0.2	0.3	0.3
FCF yld ratio (%)**	2.0	1.8	1.9	2.7
Leverage (EOP) (%)	(67.9)	(68.3)	(67.7)	(69.1)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

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Valuation Methodology and Risks

Jiangsu Hengrui (1276.HK)

- DCF: We assume a WACC of 8.2% (CoE 8.1%) and terminal growth of 3.5%, RMB/HKD conversion of 1.13x.
- No A-H difference in the base and bear cases, and a 10% H-A premium for the bull case
- SOTP cross-check: 1) generics- 10x 2025e P/E, in line with Chinese pharma peers with relatively large exposure to generics or legacy drugs; 2) innovative drugs' domestic potential - 3.0-3.5x P-peak sales - within the 2030 P/S range of leading China biotechs.

Risks to Upside

- More-than-expected out-licensing deals and collaboration revenue
- Innovative drugs approvals come earlier than expected
- Drug sales grow faster than expected

Risks to Downside

- VBP impact on loversol, sevoflurane and butorphanol worse than expected
- Significant setbacks in pipeline progress; market expectations missed

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(as of April 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1546	42%	467	51%	30%	709	44%
Equal-weight/Hold	1568	43%	358	39%	23%	715	44%
Not-Rated/Hold	4	0%	0	0%	0%	1	0%
Underweight/Sell	555	15%	84	9%	15%	202	12%
Total	3,673		909			1627	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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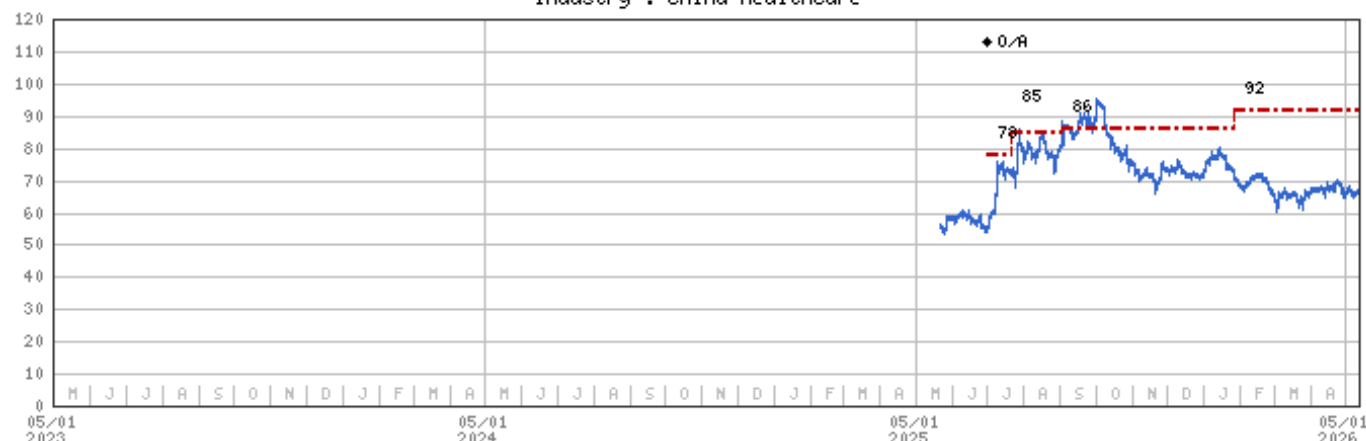
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Stock Price, Price Target and Rating History (See Rating Definitions)

Jiangsu Hengrui (1276.HK) - As of 05/12/26 GMT in HKD
Industry : China Healthcare



Stock Rating History: 7/1/25 : 0/A

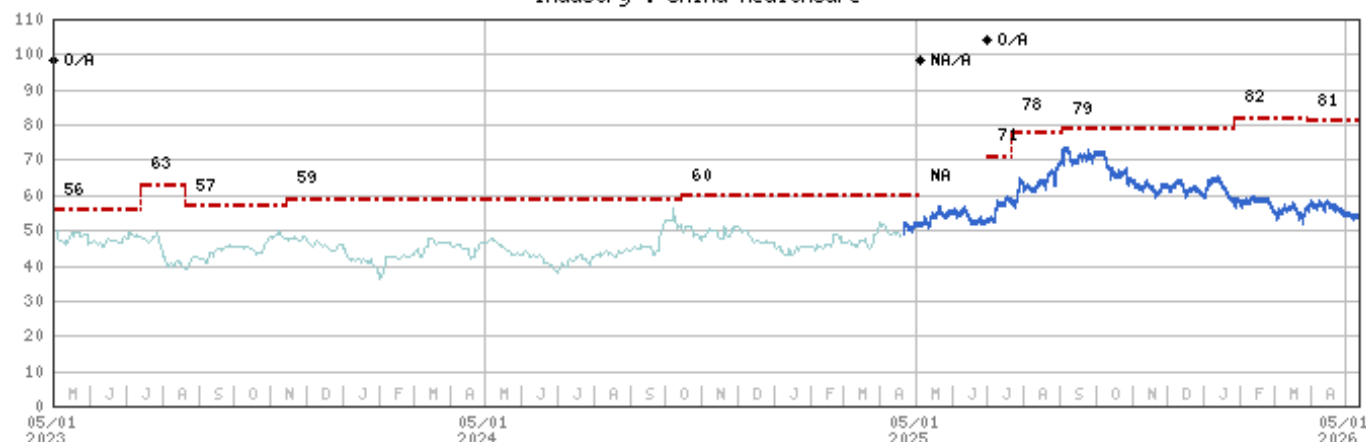
Price Target History: 7/1/25 : 78; 7/21/25 : 85; 9/2/25 : 86; 1/26/26 : 92

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
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Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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Jiangsu Hengrui (600276.SS) - As of 05/12/26 GMT in CNY
Industry : China Healthcare



Stock Rating History: 5/1/21 : 0/A; 5/5/25 : NA/A; 7/1/25 : 0/A

Price Target History: 4/20/21 : 100.83; 5/6/21 : 94.17; 8/20/21 : 83; 10/20/21 : 72; 4/25/22 : 61.8; 5/11/22 : 54.4; 10/18/22 : 51.3; 1/9/23 : 49.6; 4/24/23 : 56; 7/14/23 : 63; 8/21/23 : 57; 11/14/23 : 59; 10/14/24 : 60; 5/5/25 : NA; 7/1/25 : 71; 7/21/25 : 78; 9/2/25 : 79; 1/26/26 : 82; 3/30/26 : 81

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)
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Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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INDUSTRY COVERAGE: China Healthcare

COMPANY (TICKER)	RATING (AS OF)	PRICE* (05/12/2026)
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Alexis Yan, CFA

3SBio (1530.HK)	O (08/01/2025)	HK\$21.64
Adicon Holdings Ltd (9860.HK)	O (08/03/2023)	HK\$4.01
Aier Eye Hospital Group (300015.SZ)	U (07/08/2024)	Rmb10.56
Alibaba Health Information Technology (0241.HK)	U (05/28/2025)	HK\$4.60
Angelalign Technology Inc (6699.HK)	E (03/17/2023)	HK\$86.55
Beauty Farm Medical and Health Industry (2373.HK)	O (01/21/2026)	HK\$19.60
Beijing Tiantan Biological Products Corp (600161.SS)	O (05/27/2024)	Rmb14.34
China Resources Boya Bio-pharmaceutical (300294.SZ)	E (05/27/2024)	Rmb17.47
CSPC Pharmaceutical Group (1093.HK)	O (08/15/2012)	HK\$8.20
Dian Diagnostics Group Co Ltd (300244.SZ)	E (07/12/2022)	Rmb20.23
Fosun Pharmaceutical (2196.HK)	O (09/08/2025)	HK\$19.41
Fosun Pharmaceutical (600196.SS)	O (09/08/2025)	Rmb25.32
Guangzhou Kingmed Diagnostics (603882.SS)	U (07/08/2024)	Rmb27.15
Gushengtang Holdings Ltd (2273.HK)	O (07/08/2024)	HK\$28.90
Hansoh Pharmaceutical Group Co Ltd (3692.HK)	O (07/16/2019)	HK\$36.68
Huadong Medicine Co Ltd (000963.SZ)	U (05/06/2024)	Rmb33.56
Hygeia Healthcare Holdings Co., Ltd. (6078.HK)	O (07/30/2020)	HK\$11.97
Imeik Technology Development Co Ltd (300896.SZ)	U (01/21/2026)	Rmb115.30
JD Health International Inc. (6618.HK)	E (05/28/2025)	HK\$46.22
Jiangsu Hengrui (600276.SS)	O (07/01/2025)	Rmb56.11
Jiangsu Hengrui (1276.HK)	O (07/01/2025)	HK\$66.05
Jinxin Fertility Group Ltd (1951.HK)	U (07/14/2025)	HK\$2.42
Mindray Bio-Medical (300760.SZ)	O (07/15/2020)	Rmb166.39
Ping An Healthcare and Technology (1833.HK)	E (05/28/2025)	HK\$11.09
Shandong Weigao (1066.HK)	E (07/10/2020)	HK\$3.56
Shanghai United Imaging Healthcare Co (688271.SS)	E (02/21/2025)	Rmb114.52
Shenzhen Edge Medical (2675.HK)	O (02/16/2026)	HK\$51.30
Shenzhen New Industries (300832.SZ)	O (05/28/2024)	Rmb49.56
Sichuan Kelun Pharmaceutical Co Ltd (002422.SZ)	U (05/16/2025)	Rmb33.50
Simcere Pharmaceutical Group (2096.HK)	E (05/16/2025)	HK\$11.78
Sino Biopharmaceutical (1177.HK)	O (04/09/2019)	HK\$5.66

Clinton Ng

APT Medical Inc (688617.SS)	O (10/21/2025)	Rmb235.59
China Medical System (0867.HK)	E (05/16/2025)	HK\$12.51
MicroPort Scientific Corp. (0853.HK)	E (09/25/2023)	HK\$8.76
Peijia Medical Ltd (9996.HK)	O (06/18/2020)	HK\$5.90
Zylox-Tonbridge Medical Technology Co. (2190.HK)	O (08/05/2021)	HK\$22.64

Jack Lin

Abbisko Cayman Ltd (2256.HK)	O (11/17/2021)	HK\$11.61
Akeso, Inc. (9926.HK)	O (05/28/2020)	HK\$131.30
Duality Biotherapeutics Inc (9606.HK)	O (05/22/2025)	HK\$261.00
Everest Medicines Ltd (1952.HK)	E (03/15/2024)	HK\$32.36
HUTCHMED (China) Ltd (0013.HK)	U (09/22/2025)	HK\$20.32
HUTCHMED (China) Ltd (HCM.O)	U (09/22/2025)	US\$12.87
InnoCare Pharma Ltd (9969.HK)	E (09/11/2023)	HK\$13.75
Innovent Biologics Inc (1801.HK)	O (03/03/2026)	HK\$88.25
Insilico Medicine (3696.HK)	O (02/03/2026)	HK\$68.20
Keymed Biosciences Inc. (2162.HK)	O (08/10/2021)	HK\$72.20
Nanjing Leads Biolabs Co Ltd (9887.HK)	E (09/02/2025)	HK\$79.40
RemeGen Co., Ltd. (9995.HK)	E (05/08/2024)	HK\$98.35
VISEN Pharmaceuticals (2561.HK)	O (04/29/2025)	HK\$24.60
Zai Lab Ltd (ZLAB.O)	O (12/14/2023)	US\$19.59
Zai Lab Ltd (9688.HK)	O (12/14/2023)	HK\$15.13

Laurence Tam

Acrobiosystems Co Ltd (301080.SZ)	O (09/11/2025)	Rmb44.47
Apeloa Pharmaceutical Co Ltd (000739.SZ)	O (02/28/2025)	Rmb18.48
Asymchem Laboratories. Inc (002821.SZ)	E (08/01/2025)	Rmb128.89
Asymchem Laboratories. Inc (6821.HK)	E (06/06/2023)	HK\$106.00
Beijing Tongrentang (600085.SS)	U (11/03/2014)	Rmb28.07
Beijing Tongrentang Chinese Medicine (3613.HK)	O (01/14/2015)	HK\$7.55
China National Accord Medicines Corp Ltd (000028.SZ)	U (07/25/2022)	Rmb24.64
China Resources Pharmaceutical Group Ltd (3320.HK)	O (06/16/2022)	HK\$5.24
China Resources Sanjiu Medical & Pharma (000999.SZ)	O (08/30/2019)	Rmb25.60
China Traditional Chinese Medicine (0570.HK)	U (01/17/2025)	HK\$1.70
DaShenLin Pharmaceutical (603233.SS)	O (07/25/2022)	Rmb18.76
Dong E E Jiao Co. (000423.SZ)	O (05/16/2024)	Rmb53.18
Fu Shou Yuan International Group Ltd (1448.HK)	E (03/19/2025)	HK\$2.64
Genscript Biotech Corporation (1548.HK)	O (08/14/2024)	HK\$15.28
Hangzhou Tigermed Consulting (300347.SZ)	O (08/01/2025)	Rmb51.53
Jiangzhong Pharmaceutical Co. Ltd. (600750.SS)	O (02/08/2024)	Rmb23.71
Joinn Laboratories China Co Ltd (603127.SS)	E (06/06/2023)	Rmb39.20
Joinn Laboratories China Co Ltd (6127.HK)	E (02/26/2024)	HK\$21.34
Jointown Pharmaceutical Group (600998.SS)	U (07/26/2021)	Rmb5.07
LBX Pharmacy Chain (603883.SS)	O (03/14/2022)	Rmb13.55
Medtide (3880.HK)	E (08/06/2025)	HK\$21.72
Nanjing King-friend Biochemical (603707.SS)	O (02/28/2025)	Rmb9.10
Pharmaron (3759.HK)	O (09/25/2024)	HK\$19.64
Pharmaron (300759.SZ)	E (09/25/2024)	Rmb27.43
Shandong Xinhua Pharmaceutical Co Ltd (000756.SZ)	U (02/28/2025)	Rmb14.76
Shanghai Pharmaceutical (601607.SS)	E (08/17/2021)	Rmb17.15
Shanghai Pharmaceutical (2607.HK)	O (08/17/2021)	HK\$12.15
Shenzhen Hepalink Pharmaceutical (002399.SZ)	U (06/16/2023)	Rmb10.60
Sinopharm Group (1099.HK)	O (02/10/2023)	HK\$18.43
Tasly Pharmaceutical Group Co. Ltd (600535.SS)	E (07/19/2024)	Rmb14.92
The United Laboratories (3933.HK)	E (06/13/2017)	HK\$9.85
Tofflon Science & Technology Group (300171.SZ)	E (09/11/2025)	Rmb13.05
WuXi AppTec Co Ltd (603259.SS)	O (01/17/2019)	Rmb110.33
WuXi AppTec Co Ltd (2359.HK)	O (01/17/2019)	HK\$138.10
WuXi Biologics Cayman Inc (2269.HK)	O (07/17/2017)	HK\$33.06
WuXi XDC Cayman Inc. (2268.HK)	O (12/22/2023)	HK\$54.80
Yantai Dongcheng Biochemicals Co Ltd (002675.SZ)	E (02/28/2025)	Rmb12.89
Yifeng Pharmacy Chain Co Ltd (603939.SS)	O (07/25/2022)	Rmb23.33
Yixintang Pharmaceutical (002727.SZ)	E (07/25/2022)	Rmb12.71
Yunnan Baiyao Group (000538.SZ)	O (10/11/2021)	Rmb51.81
Zhangzhou Pientzehuang Pharmaceutical (600436.SS)	U (01/21/2022)	Rmb139.52
Zhejiang Hisun Pharmaceutical Co. Ltd. (600267.SS)	U (06/01/2023)	Rmb11.46
Zhejiang Huahai Pharmaceutical Co. Ltd. (600521.SS)	O (06/01/2023)	Rmb17.09
Zhejiang Jiuzhou Pharmaceutical Co Ltd (603456.SS)	E (02/28/2025)	Rmb13.65
Zhejiang Medicine Co. Ltd. (600216.SS)	E (02/28/2025)	Rmb14.37

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* Historical prices are not split adjusted.